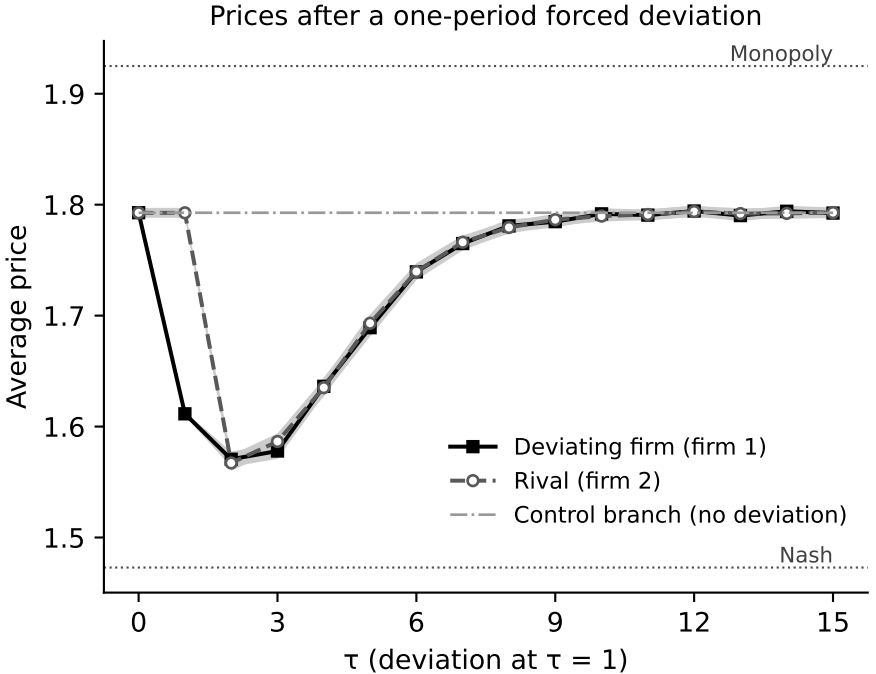
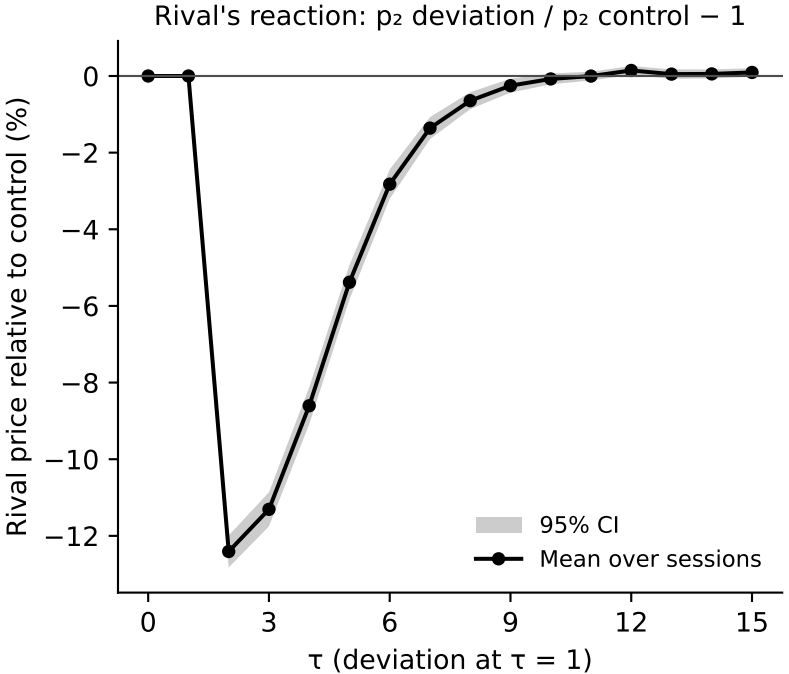

Prices after a one-period forced deviation
Monopoly
Nash
Average price
1.9
1.8
1.7
1.6
1.5
Deviating firm (firm 1)
Rival (firm 2)
Control branch (no deviation)
0
3
6
9
12
15
τ (deviation at τ = 1)


Rival's reaction: p₂ deviation / p₂ control − 1
Rival price relative to control (%)
0
−2
−4
−6
−8
−10
−12
95% CI
Mean over sessions
0
3
6
9
12
15
τ (deviation at τ = 1)